ITEM 7. MANAGEMENT DISCUSSION AND ANALYSIS - EXECUTIVE OVERVIEW

For fiscal year 2024, Microsoft recorded revenue of $245.1 billion, representing an increase of 16% (15% in constant currency) compared to $211.9 billion in fiscal year 2023. Operating income increased 24% to $109.4 billion.

Net income was $88.1 billion, increasing 22%, and diluted earnings per share was $11.80, up 22% compared to $9.68 in fiscal year 2023.

Segment Revenue Breakdown (in billions):

Segment	FY2024	FY2023	Growth (%)
Productivity & Business Proc	$77.7	$69.3	+12%
Intelligent Cloud (Azure)	$105.4	$87.9	+20%
More Personal Computing	$62.0	$54.7	+13%
Total Consolidated Revenue	$245.1	$211.9	+16%

CLOUD AND ARTIFICIAL INTELLIGENCE HIGHLIGHTS

Microsoft Cloud revenue reached $137.4 billion for the year, up 23%. Azure and other cloud services revenue grew 30%, with approximately 8 points of Azure growth directly attributable to AI services and OpenAI models hosted on Azure infrastructure.

Commercial Remaining Performance Obligation (RPO) increased 20% to $269 billion, reflecting long-term enterprise commitments to Microsoft Azure and Microsoft 365 Copilot enterprise deployments.

Capital expenditures including finance leases were $55.7 billion, driven by cloud demand and foundational investments in artificial intelligence datacenters, GPUs, and network fabric.

ITEM 1A. RISK FACTORS - CYBERSECURITY AND INFRASTRUCTURE

High demand for generative AI training and inferencing workloads has placed constraints on datacenter capacity, power availability, and third-party semiconductor accelerators. Any shortage in advanced GPU hardware could limit cloud revenue acceleration.

Intense regulatory and antitrust scrutiny persists regarding the completed Activision Blizzard acquisition, cross-platform cloud licensing, and partnerships with generative AI frontier research laboratories.